Four Statutes, One Broken Order

A Retrieval-Augmented Chatbot That Routes Philippine Consumer-Remedy Questions to the Law That Actually Governs Them

GROUP PURPLE R

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JRU RESEARCH AGENDA:

THE REAL PROBLEM

Three parties state the rules. Only one is the law.

- **The seller** posts "No Return, No Exchange" — a policy the Consumer Act prohibits
- **The platform** sets a refund window — a commercial term, not a legal right
- **The statute** grants repair, replacement and refund — and almost nobody has read it

The buyer decides what to do using the least authoritative of the three.

TASK 1 — SELECTED SDG

SDG 12 — Targets 12.8 and 12.5

Repair → Replacement → Refund

The law grants the remedies **in that order**. RA 7394 Art. 100 makes correction the first remedy — only if it is not corrected within 30 days may the buyer demand replacement, refund or a price reduction. RA 11967 Sec. 20 sends the same list, in the same order, back to that statute.

The **Lemon Law** pushes hardest of all: RA 10642 Sec. 5 requires **four failed repairs** before a buyer may escalate, and Sec. 10 requires a returned vehicle to be disclosed and **resold** — not written off.

Reuse is the statutory default. The information gap is what turns it into waste.

WHAT WE EXPLORED

Four remedy regimes. They do not agree.

RA 7394

CONSUMER ACT · 1992

All consumer goods. The general regime.

Not corrected in **30 days** → replacement or refund (Art. 100)

RA 8792

E-COMMERCE ACT · 2000

Anything done through electronic records.

Sec. 33(c): **same penalties online**. Chat logs are evidence

RA 10642

LEMON LAW · 2014

Brand-new four-wheeled vehicles only. Motorcycles excluded.

4 failed repairs, 12 mos / 20,000 km. DTI exclusive

RA 11967

INTERNET TRANSACTIONS · 2023

Business-to-consumer online. C2C excluded.

Platform redress first — **7 calendar days** (Sec. 24)

Different trigger, different clock, different forum — for the same broken item.

TASK 2 — NARROWING

Widening the survey made the problem narrower

Consumer protection → SDG 12 · 12.8 + 12.5 → Filipino online shoppers

Which of the four governs MY purchase — and what is my first step?

Four facts decide the answer, and buyers do not know any of them are decisive: **who sold it** (a business or a private person), **was the platform's own complaint process used first**, **what kind of item** it is, and **how long ago** it arrived.

Getting the routing wrong does not give a worse answer. It forfeits the claim.

TASK 3 — RESEARCH QUESTION

One question, one scored label

> To what extent does **retrieval grounding** improve the accuracy of **statutory routing** — identifying which Philippine instrument governs a described defective purchase — compared with a **non-RAG baseline** using the same language model?

Same questions. Same model. Retrieval on, retrieval off — so any difference is attributable to retrieval, not to one model being smarter.

The system returns **one label**: RA 7394 · RA 8792 · RA 10642 · RA 11967 · none. The remedy, deadline and first step are then read out of that law — checked for groundedness, not scored as separate answers.

TASK 4 — DATA

Five public sources, forty test items

KNOWLEDGE BASE — ALL PUBLIC

- RA 7394 — Consumer Act
- RA 8792 — E-Commerce Act
- RA 10642 — Philippine Lemon Law
- RA 11967 — Internet Transactions Act
- DTI FAQ + FTEB complaint procedure

EVALUATION SET — 40 ITEMS

10	General regime — RA 7394
8	Online routing — RA 11967 Sec. 24
6	Lemon Law eligible
8	**Near-miss — looks covered, is not**
8	**Unanswerable — platform policy**

Near-miss example: "My brand-new motorcycle has been repaired four times." Sec. 3(j) excludes motorcycles — so the four-repair rule does not apply. A retriever matching on surface similarity gets this wrong, visibly.

Nothing has been collected yet. The survey has not been run.

TASK 5 — MODEL & REFLECTION

A model we can access, a scope we can finish

- **openai/gpt-oss-20b** via the Groq API — free tier, no local GPU, fast
- Follows prompt constraints reliably — the property groundedness depends on
- A **reader**, not a legal authority: any rule not in the retrieved passage is a failure, even if true elsewhere
- **Closed answer space:** one label out of five. We can write the complete list of correct answers before collecting a single question

What we are deliberately not doing: no legal advice · no platform evaluated · no prediction of how a case would be decided · no jurisdiction outside the Philippines.